and restrictions, trade defence measures (anti-dumping), government procurement, incentive schemes to promote investments and exports and protect agriculture, tariff protection on agriculture, services and investments. Responses to the issues raised were provided in India's **Closing Statement** on September 16, 2011 which are as follows:

Openness of India's Trade Regime

Questions were asked about the openness of India's trading regime. In response India pointed out that year after year, India's imports had outpaced exports. In terms of percentage of GDP, the countryfs merchandise trade deficit is one of the highest in the world. India has been autonomously reducing its tariffs over the years. The simple average most favoured nation (MFN) tariff rate declined from 15.1 per cent in 2006-7 to 12 per cent in 2010-11. Both the average agricultural and industrial average tariffs have declined over time. The tariffs on 71 per cent of Indiafs tariff lines are between 5 and 10 per cent.

Gap between Rates on Agri Products

Some members mentioned the large gap between India's bound and applied rates on agricultural products. India responded that the large gap reflected India's steady and continued autonomous tariff liberalization. During the four years since the last TPR, the tariffs on some agricultural commodities had to be adjusted in the face of high volatility in food prices. In most cases, tariffs have been brought down and have stayed down. In a few instances, they have been raised again but never above their original levels.

Export Incentives

Questions were asked about export promotion schemes. It was explained that India's export promotion schemes are based on the concept of duty neutralization and providing a level playing field. These schemes are reviewed regularly.

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